

AP Business with Personal Finance: The Complete Exam Guide

A new AP Career Kickstart course: the units, the Business Canvas Project, the four free-response questions, and 10 hard practice questions.

Hi, I'm **Pigo!** I'll drop tips all through this guide.

**2:40**

hours total
70 + 90 minutes

60+4

multiple-choice +
free-response questions

15%

of your score is
your Business Canvas

New

AP Career Kickstart
course

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THE EXAM AT A GLANCE

Two sections, one score

AP Business with Personal Finance is a new AP Career Kickstart course. Your score (1–5) combines multiple choice with four free-response questions, one of which is about the Business Canvas Project you complete in class.

60%

Section I · Multiple choice · 60 questions

15%

Business Canvas

25%

FRQ 2–4

Exam structure

Section	Weight & timing	What you do
I · Multiple choice	60% of score 1 hr 10 min 60 questions	Sets of 3–4 questions built on stimulus materials: business narratives, data visualizations, financial statements and job descriptions.
II-A · Business Canvas Project	15% of score 25 minutes 1 question	Answer questions about your own Business Canvas Project: pitch your product, explain how hypothesis testing informed a decision, and explain an entrepreneurial challenge.
II-B · Free response	25% of score 1 hr 5 min 3 questions	Q2 Personal Finance · Q3 Business Concept (analyze data for planning) · Q4 Business Decision (set criteria and recommend one of two options).

FULLY DIGITAL

Everything happens in Bluebook

You answer every question, including the written responses, in College Board's **Bluebook** testing app. Responses are submitted automatically at the end. Practice typing timed answers before May.

REAL-WORLD SKILLS

Business and your own finances

The course connects how businesses start and grow with **personal finance**: budgeting, saving, borrowing, credit and investing for your own goals.

How to use this guide

Just starting?

Read pages 2–6, then follow the roadmap on page 8 month by month.

Mid-year?

Check the traps on page 7 and drill the free-response playbook on page 6.

Exam in weeks?

Take the 10 questions on page 9 in 13 minutes, then use the final-four-weeks plan.

SECTION I

02 The multiple-choice section

60 questions in 70 minutes gives you 1 minute 10 seconds per question.
Every set starts with a stimulus, so read it carefully once.

60

questions in stimulus-based sets

1:10

minutes per question on average

60%

of your total AP score

0

points lost for a wrong answer, so never leave one blank

How the questions are weighted by unit

College Board gives a range for each unit's share of the exam. Bars show minimum to maximum.

Unit 3

Saving, Borrowing & Business Finance

25–35%

Unit 1

Businesses, Competition & New Ideas

20–30%

Unit 2

Marketing

20–30%

Unit 4

Management & Strategy

15–20%

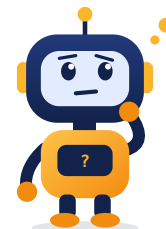
0% 10% 20% 30% 40%

What this means for your study time: Finance (personal and business) is the biggest unit. Make sure you can read an income statement, compare loans and calculate interest quickly.

Strategies that work on this section

- **Read the stimulus once, closely:** note the business, its goal and the key numbers.
- **Check units and time periods** in financial data: monthly vs annual, thousands vs millions.
- **Know key formulas:** profit, break-even, gross margin, simple and compound interest, ROI.
- **Match the concept** to the scenario: target market, competitive advantage, opportunity cost.
- **Eliminate extreme answers** with "always" or "never".
- **Never leave a blank.** There is no penalty for guessing.

Business math is usually **simple arithmetic**. The hard part is choosing the right numbers from the stimulus.



03 WHAT THE COURSE COVERS

The 5 units, in plain English

Units 1–4 are tested in multiple choice; Unit 5 is assessed through a course project.

UNIT

1

20–30%

Businesses, Competition & New Ideas

Be ready to: explain types of businesses and competition; identify customer problems; use the Business Model Canvas; test ideas with hypotheses.

UNIT

2

20–30%

Marketing

Be ready to: define target markets; analyze the marketing mix (product, price, place, promotion); interpret customer data and research.

UNIT

3

25–35%

Personal Saving & Borrowing + Business Finance

Be ready to: compare savings and loans; calculate simple and compound interest; understand credit scores; read income statements and balance sheets; calculate profit and break-even.

UNIT

4

15–20%

Management & Strategy

Be ready to: explain leadership, hiring and organizational structure; analyze strategic plans; make decisions using criteria and data.

UNIT

5

Project

Personal Goals, Budgeting & Investing

Be ready to: build a budget, set financial goals and compare investment options through the Financial Advisor Project, advising a fictional household.

New course: because AP Business with Personal Finance is new, national score data is still limited. Check College Board for the latest course updates each year.

04 SECTION II

The 4 free-response questions

90 minutes in total: 25 minutes for your Business Canvas question, then 65 minutes for three scenario questions.

Q1 · Canvas · 15%

Q2 · Personal finance

Q3 · Concept

Q4 · Decision

Q1 = 15% of your score; Q2–Q4 together = 25%

Q1

Business Canvas Project

25 minutes · 15%

Pitch the product idea from your own project, explain how you used hypothesis testing to make a decision, and explain how an entrepreneurial challenge could threaten its viability.

Review your canvas and test results before exam day.

Q2

Personal Finance

Scenario

Interpret financial data such as a budget, loan or savings plan, and explain how a person can reach a goal.

Show calculations step by step with labeled numbers.

Q3

Business Concept

Scenario

Analyze business data, such as sales trends or customer research, to inform a strategic plan.

Quote specific numbers from the data in your answer.

Q4

Business Decision

Scenario

Establish criteria and use them to recommend one of two alternatives, justifying your choice.

State your criteria first, then compare both options against each one.

◆ A time plan for the 90 minutes

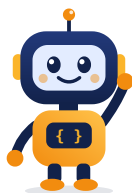
Q1 · Canvas
25 min

Q2
~21 min

Q3
~22 min

Q4
~22 min

A suggested split, not a rule. Start with the question type you're strongest at, and never leave a question blank.



In decision questions, **criteria come first**. A recommendation without criteria is just an opinion.

05 FREE-RESPONSE PLAYBOOK

Anatomy of a strong decision

Here is a Business Decision practice prompt with a strong answer, annotated to show where points come from.

PRACTICE TASK • WRITTEN BY ACT SAT GO

Practice prompt (Q4 style): A small bakery can either (A) buy a \$12,000 oven that bakes twice as much bread, or (B) spend \$12,000 on a six-month social media campaign. Each batch of bread sells for \$25 and costs \$10 to make. Recommend one option.

Sample response

- ① **Criteria:** I will compare the options on (1) how quickly the cost is recovered and (2) whether the bakery has enough demand to use the extra capacity.
- ② Each batch earns $\$25 - \$10 = \$15$. Option A breaks even after $\$12,000 \div \$15 = \mathbf{800 \text{ extra batches}}$.
- ③ But extra capacity only helps if customers buy more bread. If the bakery already sells out daily, demand is proven; if not, the oven may sit idle.
- ④ **Recommendation:** if the bakery sells out most days, choose Option A, because demand already exceeds capacity and the investment is recovered once 800 extra batches are sold.

- ① **Criteria first**, stated clearly.
- ② **Calculation** shown with labeled numbers.
- ③ **Compare** against the criteria, including risk.
- ④ **Recommendation** justified by the criteria.

Five habits for every free-response question

- 1** Answer each lettered part separately and in order.
- 2** Show every calculation with labels and units.
- 3** Quote specific numbers from the stimulus.
- 4** Set criteria before making a recommendation.
- 5** Stuck? Define the concept and apply it to the scenario.

06 LEARN FROM OTHERS

10 traps that cost points

Meet **Glitch**. He lives in these ten mistakes. Squash each one before May.

Revenue **is** profit! (It isn't.)



01 Revenue vs profit

Revenue is money coming in; profit is revenue minus costs.

02 Simple vs compound interest

Compound interest earns interest on interest; over time it grows much faster.

03 APR per year

A 24% APR is about 2% per month. Convert before calculating monthly interest.

04 Fixed vs variable costs

Fixed costs (rent) don't change with output; variable costs (ingredients) do.

05 Break-even confusion

Break-even units = fixed costs ÷ (price – variable cost per unit).

06 Target market too broad

"Everyone" is not a target market. Define who is most likely to buy.

07 Opinion without criteria

Business decisions need criteria and evidence, not personal preference.

08 Ignoring the stimulus

Answers must use the data and scenario provided.

09 Forgetting opportunity cost

Every choice gives up the next-best alternative. Name it.

10 Unprepared canvas question

Q1 is about your own project. Review your hypotheses and results.

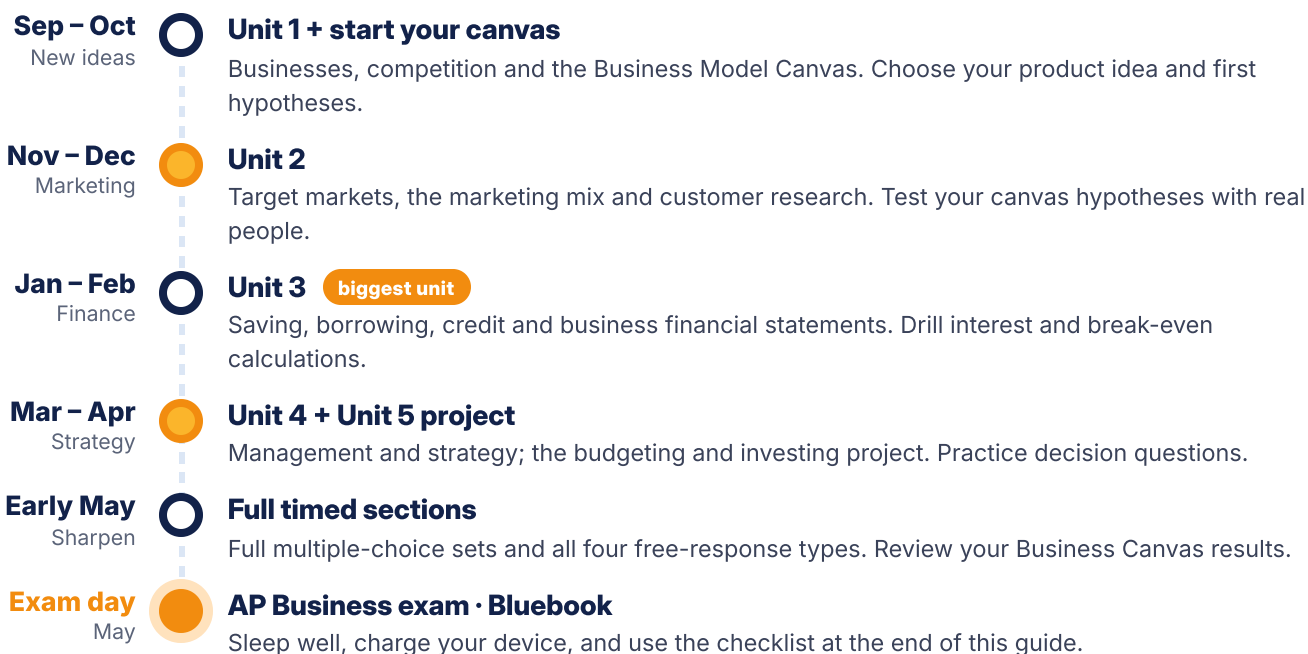
Quick self-check: a business has fixed costs of \$12,000, sells a product for \$25 and spends \$10 per unit to make it. What is the break-even quantity? ($12,000 \div 15 = 800$ units.)

07

PLAN YOUR YEAR

Your study roadmap to May

A steady plan beats a last-minute rush. Start your Business Canvas Project early so you have real tests and data to discuss.



◆ The final four weeks

Week	Focus	Target
4 weeks out	Diagnose: 30 multiple-choice questions plus Q4 practice	List your weakest unit
3 weeks out	Daily finance calculations	Interest, break-even, margin
2 weeks out	Full practice exam under timing	Finish both sections
Final week	Light review: formulas, canvas notes, traps list	Rest the night before

08 TEST YOURSELF

10 practice questions

Original questions written by ACT SAT GO in the style of the exam, pitched at the harder end. Give yourself **13 minutes** for all ten, then check page 10.

1 UNIT 3 • COMPOUND INTEREST

\$1,000 is deposited at 5% interest compounded annually. About how much is in the account after 3 years?

- A \$1,050.00
- B \$1,150.00
- C \$1,157.63
- D \$1,500.00

2 UNIT 3 • BREAK-EVEN

A company has fixed costs of \$12,000. Each unit sells for \$25 and costs \$10 to produce. What is the break-even quantity?

- A 480 units
- B 800 units
- C 1,200 units
- D 1,714 units

3 UNIT 3 • CREDIT

A credit card balance of \$2,000 has a 24% APR. Approximately how much interest is charged in one month if no payment is made?

- A \$4
- B \$24
- C \$40
- D \$480

4 UNIT 3 • FINANCIAL STATEMENTS

A business has revenue of \$80,000 and cost of goods sold of \$50,000. What is its gross margin?

- A 30%
- B 37.5%
- C 62.5%
- D 160%

5 UNIT 3 • INVESTING

Using the rule of 72, an investment earning 6% per year doubles in about:

- A 6 years
- B 12 years
- C 18 years
- D 72 years

6 UNIT 1 • HYPOTHESIS TESTING

A student believes teens will pay \$5 for reusable snack bags. What is the best way to test this hypothesis?

- A Assume it is true and order 1,000 bags
- B Ask family members if they like the idea
- C Copy a competitor's price
- D Offer a small batch at \$5 to real customers and measure how many buy

7 UNIT 2 • MARKETING MIX

Lowering a product's price for a limited time to attract new customers is a decision about which part of the marketing mix?

- A Price
- B Product
- C Place
- D People

8 UNIT 2 • TARGET MARKET

Which is the most useful target market description for a new study app?

- A Everyone with a phone
- B People who like apps
- C Teachers and parents and students and adults
- D High-school students preparing for AP exams who study on their phones

9 UNIT 4 • DECISIONS

When choosing between two suppliers, a manager should first:

- A set criteria such as cost, quality and reliability, then compare both against them
- B pick the cheaper one immediately
- C choose the one a friend recommends
- D avoid deciding

10 UNIT 3 • ROI

An investment of \$5,000 is sold for \$6,500. What is the return on investment (ROI)?

- A 13%
- B 23%
- C 30%
- D 130%

09

CHECK YOUR WORK

Answer key & explanations

Read every explanation, even for questions you got right. Each one points to a pattern that keeps coming back on the exam.

#	Answer	Why
1	C • \$1,157.63	$\$1,000 \times 1.05^3 = \$1,157.63$. Choice B is simple interest ($\$50 \times 3$ years).
2	B • 800 units	Break-even = fixed costs $\div$ (price – variable cost) = $12,000 \div 15 = 800$.
3	C • \$40	Monthly rate $\approx 24\% \div 12 = 2\%$. 2% of $\$2,000 = \40 .
4	B • 37.5%	Gross margin = (revenue – COGS) $\div$ revenue = $30,000 \div 80,000 = 37.5\%$.
5	B • 12 years	Rule of 72: $72 \div 6 = 12$ years to double.
6	D	A real test with actual customers and a measured outcome gives evidence; opinions from family don't.
7	A • Price	A temporary price reduction is a pricing decision.
8	D	A specific target market identifies who is most likely to buy and why.
9	A	Good decisions set criteria first, then compare alternatives against them.
10	C • 30%	ROI = $(6,500 - 5,000) \div 5,000 = 1,500 \div 5,000 = 30\%$.

9–10

Strong. Move on to full timed free-response practice.

6–8

On track. Revisit the unit behind every miss on page 4.

0–5

Build foundations now. Drill finance formulas (interest, break-even, margin) and the marketing mix.

10 KNOW THE TARGET How students score

AP Business with Personal Finance is a newer AP course, so national score history is still building. It is scored on the same 1–5 scale as every AP exam.

New

course: national score history is still building

1–5

AP scores use the same five-point scale as every AP exam

3+

is the score many colleges accept for credit or placement

What each AP score means

5

Extremely well qualified

4

Very well qualified

3

Qualified

2

Possibly qualified

1

No recommendation

Ranges reflect recent College Board score distributions and shift a little each year. Credit and placement policies vary by college, so check each college's AP policy.

Exam-day checklist

- ☐ **Bluebook** is installed and updated, and your device passed the exam check
- ☐ Device **fully charged**, with the charger packed
- ☐ Admission ticket and photo ID, as your school requires
- ☐ Confirm your **exam day and start time** in May with your AP coordinator
- ☐ Review your **Business Canvas Project**: hypotheses, tests and results
- ☐ A **calculator**: calculators are permitted on this exam
- ☐ Plan your time: **25 min** for Q1, about **21–22 min** each for Q2–Q4
- ☐ Answer **every** multiple-choice question. Wrong answers don't lose points

In the free-response section: use specific numbers from the stimulus, show every calculation, set criteria before recommending, and explain your Business Canvas decisions with the evidence from your tests.



ACT SAT GO • 1-ON-1 AP TUTORING

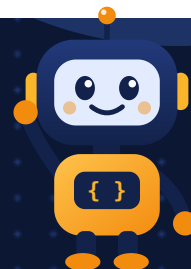
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Book a free diagnostic lesson. We'll find your weakest units, review your practice responses, and give you a week-by-week plan to exam day in May.

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Business & finance tutoring

Live 1-on-1 sessions on all units, with finance calculation drills.

Free-response coaching

Practice all four question types with rubric-style feedback. Your canvas project stays 100% your own.

Timed exam practice

Full-length multiple-choice sets with score reports, so you see progress before May.

◆ Contact us

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